# JIO VS AIRTEL VS VI: TELECOM STRATEGY REPORT

Management research project report submitted in partial fulfillment of the requirement for the award of the degree

Of

**BACHELOR OF BUSINESS ADMINISTRATION**


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# CERTIFICATE

This is to certify that Ms./Mr. Adep Akash, Aneerudh Patil, Jai Eshwar, Raja Shanmuk University ID No. 2620560035, 2620560030, 2620560036, 2620560023 worked under my supervision for the Management Research Project titled **"Jio vs Airtel vs Vi Strategy Report"** during the academic year 2026-2029 in partial fulfillment of the BBA Program requirements. The student has done work genuinely to the best of my Knowledge and Belief.

Signature of faculty supervisor

Signature of HOD

# ACKNOWLEDGEMENT

I take this opportunity to express my profound gratitude and deep regard to our Associate/Assistant professor who despite being extraordinarily busy with his/her duties, took time out to hear, guide, and keep me on the correct path and allow me to carry out my project.

Bearing in mind the previous, I am using this opportunity to express my deepest gratitude and special thanks to the HOD of KLBCH for his/her exemplary support, monitoring, and constant engagement throughout the study period.

I am thankful to All our faculty for their cordial support, valuable information, and support, which helped me in completing this task through various stages.

I would like to express my gratitude to My Parents and whole Friends for their kind Cooperation and encouragement which help me in the completion of this project.

I perceive this opportunity as a big milestone in my career development. I will strive to use gained skills and knowledge in the best possible way, and I will continue to work on their improvement, to attain my desired career.

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# DECLARATION

I do hereby declare that the project report entitled **"JIO VS AIRTEL VS VI STRATEGY REPORT"** comprises my work. It has not been submitted either fully or partially to this university or any other university earlier for the award of the degree of "Bachelor of Business Administration" or any other degree.

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# TELECOM STRATEGY IN INDIA

## 1. INTRODUCTION AND MEANING OF TELECOM OLIGOPOLY

Telecom strategy refers to actions taken by major network operators to influence market share, pricing (tariffs), and service quality. In India, the market is primarily controlled by three giants: Reliance Jio, Bharti Airtel, and Vodafone Idea (Vi). Their primary objective is to maintain subscriber growth while balancing the massive capital expenditures required for 5G infrastructure.

Telecom strategy matters because changes in data tariffs and network availability influence household spending, business digitalization, and overall economic connectivity. For example, a change in base tariff plans directly affects how much households spend on communication, although the effect on overall data consumption is generally inelastic.

## 2. OBJECTIVES AND IMPORTANCE

**Market Share Stability:** Controlling churn rates helps protect long-term revenue and makes network planning easier for telcos.

**Sustainable Growth:** Suitable infrastructure investments (like 5G) support productive economic activity and digital consumption.

**Financial Stability:** Proper two-part tariff pricing ensures telecom operators can service their massive spectrum debts.

Telecom strategy does not exist in a vacuum. Equipment shortages, spectrum auction prices, and global supply chain disruptions can also cause operational bottlenecks. Corporate strategy works alongside government regulations (TRAI) and supply-side measures.

## 3. TRAI AND THE REGULATORY FRAMEWORK

The Telecom Regulatory Authority of India (TRAI) acts as the central regulator, similar to how the RBI manages monetary policy. It manages fair competition, regulates interconnection usage charges (IUC), and supports the stability of the digital payment ecosystem built on top of telecom networks.

Decisions regarding spectrum pricing and tariff caps are made within a legal framework. While companies like Jio and Airtel have the freedom to set retail prices, TRAI monitors these to prevent monopolistic predatory pricing or illegal cartels. The framework ensures that inflation in digital services does not disrupt economic growth.

## 4. MAJOR INSTRUMENTS OF TELECOM STRATEGY

Telcos use a combination of pricing and technological tools to influence the market. Each tool has a specific role, and the overall effect depends on how consumers and rival firms respond.

| Instrument | Meaning | Typical role |
|---|---|---|
| Two-Part Tariffs | A fixed base access fee plus variable add-ons for extra data/services. | Secures baseline ARPU while monetizing heavy users. |

| | | |
|---|---|---|
| 5G Rollout | Deploying next-generation network infrastructure. | Attracts premium, high-paying urban consumers. |
| OTT Bundling | Including Netflix, Prime, or Disney+ subscriptions with recharges. | Increases switching costs and builds customer loyalty. |
| Spectrum Bidding | Purchasing airwaves from the government during auctions. | Ensures network capacity and future-proofs the business. |

## 5. STRATEGY TRANSMISSION MECHANISM

Transmission is the process through which a telecom company's pricing decision influences consumer behavior and market share. A tariff change can affect household budgets, streaming habits, and competitor pricing.

**Main channels of transmission:**
• ***Price Channel:*** Changes in base plans influence the cost of digital access.
• ***Quality Channel:*** 5G upgrades influence the volume of high-bandwidth consumption.
• ***Expectations Channel:*** Marketing campaigns influence what consumers expect regarding network speeds.
Transmission is not automatic. Consumers may downgrade plans during uncertainty, and MNP (Mobile Number Portability) allows users to switch networks if they are dissatisfied.

## 6. AGGRESSIVE AND CONSERVATIVE STRATEGIES

An **aggressive approach** (historically used by Jio) involves slashing tariffs or offering free data to capture market share rapidly. A **conservative/consolidation approach** (currently used by Jio and Airtel) involves raising tariffs to increase ARPU (Average Revenue Per User) and stabilize profitability.

The companies choose their stance by balancing debt obligations, spectrum costs, and subscriber growth; neither approach is sustainable forever without adaptation.

## 7. IMPACT OF TELECOM POLICY ON INDIAN BUSINESSES

Businesses are affected through digital connectivity costs, IoT infrastructure availability, and consumer online reach. The impact varies by sector.

| Sector | Impact of Aggressive (Cheap) Data | Impact of Consolidation (Price Hikes) |
|---|---|---|
| E-Commerce | Rapid expansion of user base and tier-3 market penetration. | Focus on retaining high-value urban customers. |
| OTT & Media | Explosive growth in video consumption and subscriptions. | Slower growth; reliance on telco bundling deals. |

| | | |
|---|---|---|
| SMEs | Affordable digital marketing and online operations. | Higher overhead costs for digital communication. |

## 8. CHALLENGES AND LIMITATIONS

**Time lags:** Infrastructure investments (like 5G) take years to show a return on investment.
**Supply-side costs:** Semiconductor shortages and global hardware costs raise capital expenditure.
**Uneven effects:** Urban users receive 5G benefits much faster than rural users.
**Trade-offs:** Raising prices to pay off debt can lead to short-term subscriber churn, as seen with Vodafone Idea (Vi).

## 9. ILLUSTRATIVE CASE STUDY: AN INDIAN TELECOM CONSUMER

Imagine a rural consumer who uses mobile data for agricultural market rates and education. If the telecom oligopoly (Jio and Airtel) tacitly colludes to raise base tariffs by 15%, the consumer's monthly expense increases. Because the demand for data is inelastic, the consumer does not disconnect but reduces spending in other areas of their household budget.

Conversely, an urban enterprise user might gladly accept a 20% price hike if it is bundled with enterprise-grade 5G security and IoT capabilities. The final result of a pricing strategy depends on incomes, digital dependence, and competition (or lack thereof).

***Lessons from the case:*** Tariff hikes affect demographics differently. Telecom policy cannot replace sound customer service and network reliability.

## 10. FINDINGS AND CONCLUSION

**Key findings:**
1. The telecom sector is a rigid oligopoly where pricing power is consolidating in the hands of Jio and Airtel.
2. The price war is officially over; competition is now based on 5G quality and OTT bundles.
3. Vodafone Idea (Vi) faces an existential crisis without massive capital injection.
4. Data demand remains highly inelastic despite successive tariff hikes.

**Conclusion:**
Strategic management in the telecom sector is essential to India's digital economy. Through aggressive initial pricing followed by calculated consolidation, Jio and Airtel have established a value-driven duopoly. For businesses and consumers, these strategies dictate the cost of digital access. The effectiveness of future telecom growth depends on continuous infrastructure investment, credible 5G use-cases, and supportive TRAI regulations.

**ARPU:** Average Revenue Per User.
**Churn Rate:** The percentage of subscribers who leave a network within a given timeframe.
**Oligopoly:** A market structure dominated by a small number of large sellers.
**TRAI:** Telecom Regulatory Authority of India.
**Inelastic Demand:** When a change in price causes a relatively smaller change in the quantity demanded.

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